NPAS, BASEL NORMS, RESOLUTION AND FINANCIAL INCLUSION

STRESS RECOGNITION RAIL → LOAN-ACCOUNTING FORK → RISK-WEIGHTED CAPITAL BOARD → TWIN-BALANCE-SHEET LOOP → RECOVERY-RESOLUTION LADDER → STRESSED-ASSET TRANSFER

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

● PRIMARY CORE FLOW ● SUBORDINATE EXTRA ★ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • active generation g1 • explicit approval of this exact generation is required • all prior artifacts unchanged

00

STAGE 00

STRESS RECOGNITION RAIL

STRESS RECOGNITION RAIL · WEAK CASH FLOW · OVERDUE UNDER RBI TEST · NPA RECOGNITION · PROVISIONING + CAPITAL PRESSURE

WEAK CASH FLOW → OVERDUE UNDER RBI TEST → NPA RECOGNITION → PROVISIONING + CAPITAL PRESSURE

CONCEPT / ACCOUNTING BASIS
- WEAK CASH FLOW
- OVERDUE UNDER RBI TEST

TRANSMISSION / RECONCILIATION
- NPA RECOGNITION
- PROVISIONING + CAPITAL PRESSURE

DISTRIBUTIONAL / STABILITY LIMIT
- WEAK CASH FLOW
- OVERDUE UNDER RBI TEST

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OVERDUE UNDER RBI TEST; NPA RECOGNITION; PROVISIONING + CAPITAL PRESSURE.

01

STAGE 01

LOAN-ACCOUNTING FORK

LOAN-ACCOUNTING FORK · EXPECTED LOSS CHARGED TO INCOME · REMOVED FROM ACTIVE LOAN BOOK · LIABILITY LEGALLY RELINQUISHED · RECOVERY RIGHTS MAY SURVIVE A WRITE-OFF

MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
PROVISION → expected loss charged to income	WAIVER → liability legally relinquished	PROVISION → expected loss charged to income
WRITE-OFF → removed from active loan book	RECOVERY RIGHTS may survive a write-off	WRITE-OFF → removed from active loan book

MEASURE / INSTITUTION
- PROVISION → expected loss charged to income
- WRITE-OFF → removed from active loan book

DECISIVE DISTINCTION
- WAIVER → liability legally relinquished
- RECOVERY RIGHTS may survive a write-off

VINTAGE / LEGAL LIMIT
- PROVISION → expected loss charged to income
- WRITE-OFF → removed from active loan book

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: WAIVER → liability legally relinquished; RECOVERY RIGHTS may survive a write-off.

02

STAGE 02

RISK-WEIGHTED CAPITAL BOARD

RISK-WEIGHTED CAPITAL BOARD · BASEL GLOBAL · CET1 4.5 · TIER 1 6 · TOTAL 8 · RBI INDIA · CET1 5.5 · TIER 1 7

BASEL GLOBAL → CET1 4.5

TIER 1 6 → TOTAL 8 → RBI INDIA → CET1 5.5

CONCEPT / ACCOUNTING BASIS
- BASEL GLOBAL → CET1 4.5
- TIER 1 6
- TOTAL 8

TRANSMISSION / RECONCILIATION
- RBI INDIA → CET1 5.5
- TIER 1 7
- CRAR 9

DISTRIBUTIONAL / STABILITY LIMIT
- CCB → 2.5 CET1
- VINTAGE → RBI Master Circular, 1 Apr 2025

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VINTAGE → RBI Master Circular, 1 Apr 2025.

03

STAGE 03

TWIN-BALANCE-SHEET LOOP

TWIN-BALANCE-SHEET LOOP · CORPORATE OVER-LEVERAGE · WEAK DEBT SERVICE · BANK NPAS + CAPITAL LOSS · WEAKER FRESH CREDIT

CONCEPT / ACCOUNTING BASIS
- CORPORATE OVER-LEVERAGE
- WEAK DEBT SERVICE

TRANSMISSION / RECONCILIATION
- BANK NPAs + CAPITAL LOSS
- WEAKER FRESH CREDIT

DISTRIBUTIONAL / STABILITY LIMIT
- CORPORATE OVER-LEVERAGE
- WEAK DEBT SERVICE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BANK NPAs + CAPITAL LOSS; WEAKER FRESH CREDIT.

04

STAGE 04

RECOVERY-RESOLUTION LADDER

RECOVERY-RESOLUTION LADDER · SECURED-ASSET ENFORCEMENT · SPECIALISED DEBT RECOVERY · COLLECTIVE INSOLVENCY · LENDER COORDINATION, NOT A TRIBUNAL

SARFAESI → secured-asset enforcement

DRT → specialised debt recovery → IBC / NCLT → collective insolvency → ICA → lender coordination, not a tribunal

CONCEPT / ACCOUNTING BASIS
- SARFAESI → secured-asset enforcement
- DRT → specialised debt recovery

TRANSMISSION / RECONCILIATION
- IBC / NCLT → collective insolvency
- ICA → lender coordination, not a tribunal

DISTRIBUTIONAL / STABILITY LIMIT
- SARFAESI → secured-asset enforcement
- DRT → specialised debt recovery

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: IBC / NCLT → collective insolvency; ICA → lender coordination, not a tribunal.

05

STAGE 05

STRESSED-ASSET TRANSFER

STRESSED-ASSET TRANSFER · BANK BALANCE SHEET · NARCL TRANSFER · SPECIALISED RECOVERY OR SALE · LOSS REMAINS · VALUATION AND BUYER INTEREST DECIDE

BANK BALANCE SHEET

ARC / NARCL TRANSFER → SPECIALISED RECOVERY OR SALE → LOSS REMAINS → valuation and buyer interest decide

CONCEPT / ACCOUNTING BASIS
- BANK BALANCE SHEET
- ARC / NARCL TRANSFER

TRANSMISSION / RECONCILIATION
- SPECIALISED RECOVERY OR SALE
- LOSS REMAINS → valuation and buyer interest decide

DISTRIBUTIONAL / STABILITY LIMIT
- BANK BALANCE SHEET
- ARC / NARCL TRANSFER

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LOSS REMAINS → valuation and buyer interest decide.

06

STAGE 06

SUPERVISORY REPAIR SEQUENCE

SUPERVISORY REPAIR SEQUENCE · GRADUATED SUPERVISION · LOSS ABSORPTION · RECOGNITION + RESOLUTION + RECAP + REFORMS

AQR → RECOGNITION → PCA → GRADUATED SUPERVISION → RECAPITALISATION → LOSS ABSORPTION → 4R → RECOGNITION + RESOLUTION + RECAP + REFORMS

CONCEPT / ACCOUNTING BASIS
- AQR → RECOGNITION
- PCA → GRADUATED SUPERVISION

TRANSMISSION / RECONCILIATION
- RECAPITALISATION → LOSS ABSORPTION
- 4R → RECOGNITION + RESOLUTION + RECAP + REFORMS

DISTRIBUTIONAL / STABILITY LIMIT
- AQR → RECOGNITION
- PCA → GRADUATED SUPERVISION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 4R → RECOGNITION + RESOLUTION + RECAP + REFORMS.

07

STAGE 07

STRESS INDICATORS BOARD

STRESS INDICATORS BOARD · PRUDENTIAL LOAN CLASSIFICATION · INTEREST-SERVICE INDICATOR · CONCEALED STRESS · TEMPORARY RELIEF, NOT PERMANENT CONCEALMENT

NPA → prudential loan classification

ICR → earnings / interest-service indicator → EVERGREENING → concealed stress → FORBEARANCE → temporary relief, not permanent concealment

MEASURE / INSTITUTION
- NPA → prudential loan classification
- ICR → earnings / interest-service indicator

DECISIVE DISTINCTION
- EVERGREENING → concealed stress
- FORBEARANCE → temporary relief, not permanent concealment

VINTAGE / LEGAL LIMIT
- NPA → prudential loan classification
- ICR → earnings / interest-service indicator

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVERGREENING → concealed stress; FORBEARANCE → temporary relief, not permanent concealment.

08

STAGE 08

INCLUSION QUALITY TRIANGLE

INCLUSION QUALITY TRIANGLE · ACCOUNT OR SERVICE AVAILABILITY · ACTIVE AND SUITABLE USE · PROTECTION + GRIEVANCE + SUITABILITY · ALL THREE: NO BASE YEAR

CONCEPT / ACCOUNTING BASIS
- ACCESS → account or service availability
- USAGE → active and suitable use

TRANSMISSION / RECONCILIATION
- QUALITY → protection + grievance + suitability
- FI-INDEX → all three; no base year

DISTRIBUTIONAL / STABILITY LIMIT
- ACCESS → account or service availability
- USAGE → active and suitable use

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: QUALITY → protection + grievance + suitability; FI-INDEX → all three; no base year.

09

STAGE 09

INCLUSION DELIVERY MAP

INCLUSION DELIVERY MAP · TRANSACTION-ACCOUNT PLATFORM · SHG-BANK LINKAGE · GROUP SAVINGS TO FORMAL BANK · BUSINESS CORRESPONDENT · LAST-MILE ACCESS · TARGETED WATER/SANITATION FINANCE

PM/DY → transaction-account platform

SHG-BANK LINKAGE → group savings to formal bank → BUSINESS CORRESPONDENT → last-mile access → WATERCREDIT → targeted water/sanitation finance

CONCEPT / ACCOUNTING BASIS
- PM/DY → transaction-account platform
- SHG-BANK LINKAGE → group savings to formal bank

TRANSMISSION / RECONCILIATION
- BUSINESS CORRESPONDENT → last-mile access
- WATERCREDIT → targeted water/sanitation finance

DISTRIBUTIONAL / STABILITY LIMIT
- PM/DY → transaction-account platform
- SHG-BANK LINKAGE → group savings to formal bank

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SHG-BANK LINKAGE → group savings to formal bank.

10

STAGE 10

CREDIT-CLEANUP TRADE-OFFS

CREDIT-CLEANUP TRADE-OFFS · EARLY RECOGNITION · SHORT-RUN RATIO SHOCK · HIGHER CAPITAL · LENDING CONSTRAINT · FAST RECOVERY · VIABILITY RISK · DIGITAL ACCESS

EARLY RECOGNITION → credibility / short-run ratio shock

HIGHER CAPITAL → resilience / lending constraint → FAST RECOVERY → discipline / viability risk → DIGITAL ACCESS → lower cost / exclusion and mis-selling risk

CONCEPT / ACCOUNTING BASIS
- EARLY RECOGNITION → credibility / short-run ratio shock
- HIGHER CAPITAL → resilience / lending constraint

TRANSMISSION / RECONCILIATION
- FAST RECOVERY → discipline / viability risk
- DIGITAL ACCESS → lower cost / exclusion and mis-selling risk

DISTRIBUTIONAL / STABILITY LIMIT
- EARLY RECOGNITION → credibility / short-run ratio shock
- HIGHER CAPITAL → resilience / lending constraint

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: DIGITAL ACCESS → lower cost / exclusion and mis-selling risk.

11

STAGE 11

NPA ANSWER SPINE

NPA ANSWER SPINE · DEFINE STRESS AND CLASSIFICATION · ABSORB LOSS THROUGH PROVISIONS AND CAPITAL · CHOOSE RECOVERY, RESOLUTION OR TRANSFER · RESTORE GOVERNANCE AND USEFUL INCLUSION

DEFINE stress and classification → ABSORB loss through provisions and capital → CHOOSE recovery, resolution or transfer → RESTORE governance and useful inclusion

CONCEPT / ACCOUNTING BASIS
- DEFINE stress and classification
- ABSORB loss through provisions and capital

TRANSMISSION / RECONCILIATION
- CHOOSE recovery, resolution or transfer
- RESTORE governance and useful inclusion

DISTRIBUTIONAL / STABILITY LIMIT
- DEFINE stress and classification
- ABSORB loss through provisions and capital

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CHOOSE recovery, resolution or transfer; RESTORE governance and useful inclusion.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · AN NPA CYCLE CAN BE DRIVEN BY MACRO SHOCKS · PROMPT RECOGNITION RAISES NEAR-TERM REPORTED STRESS BUT PREVENTS HIDDEN · CAPITAL CONSERVATION AND COUNTERCYCLICAL BUFFERS ADDRESS DIFFERENT RISKS · RESOLUTION MUST CHOOSE AMONG REVIVAL, CHANGE OF CONTROL, ASSET · INCLUSION SHOULD COMBINE TRANSACTION ACCOUNTS, SAVINGS, PAYMENTS, INSURANCE, PENSIONS · DIGITAL TRAILS CAN IMPROVE UNDERWRITING BUT REQUIRE CONSENT, GRIEVANCE · SETS PRUDENTIAL RECOGNITION, PROVISIONING, CAPITAL AND RESOLUTION-RELATED

OPTIONAL MODEL / MEASUREMENT DEPTH
- CAUTION: An NPA cycle can be driven by macro shocks; project delays, governance failures,
- CAUTION: Prompt recognition raises near-term reported stress but prevents hidden losses from
- CAUTION: Capital conservation and countercyclical buffers address different risks: firm
- CAUTION: Resolution must choose among revival, change of control, asset sale and liquidation

VINTAGE, BASKET OR LEGAL LIMIT
- CAUTION: Inclusion should combine transaction accounts, savings, payments, insurance, pensions
- CAUTION: Digital trails can improve underwriting but require consent, grievance redress and
- RBI: sets prudential recognition, provisioning, capital and resolution-related
- Insolvency and Bankruptcy Board of India and NCLT: administer the corporate

COMPARATIVE POLICY NUANCE
- Asset reconstruction companies: acquire and resolve stressed financial assets under
- Banks, business correspondents and digital-payment networks: deliver inclusion
- CAUTION: An accounting write-off removes a loan from active books but need not cancel recovery
- CAUTION: Evergreening uses fresh finance to conceal an unviable old exposure rather than restore

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels